

Group would be allowed to build a new Mercedes dealership on Boston's south shore. This required the construction of a new facility. Moreover, Prime Motor Group would incur a couple of years of operating losses before the new dealership turned a profit. Together, the cost of the facility and the operating losses meant a significant investment, yet we were confident it would ultimately be profitable. It was.

When we first purchased Prime Motor Group, we focused on improving the existing operations. After we realized how much value could be created through capital allocation, we reinvested all the profits into real estate and acquisitions for 10 years. These investments paid off handsomely. Under our stewardship, Prime became the second-largest dealership group in New England and one of the 50 largest in the country.

While we held Prime Motor Group, we were prohibited from buying shares in public auto dealers due to restrictions imposed by framework agreements.³ In 2017, shortly after we exited, these restrictions were lifted and we turned our attention back to publicly traded dealers. Lithia Motors had a history of buying underperforming dealerships and improving their performance—the same strategy Prime Motor Group first pursued. This, along with Lithia's track record of growing its earnings and management's ownership of a significant amount of stock, prompted us to make a large investment in that company. Had we not already owned Prime Motor Group, we probably would have been wary of Lithia's aggressive pursuit of acquisitions and doubted that its capital-allocation program made sense.

The biggest difference between liquid and illiquid securities, of course, is that public securities are traded daily. The most challenging part of investing is psychological. Market fluctuations often stimulate

³ Large dealers often enter into framework agreements with manufacturers. These agreements limit the number of stores of a manufacturer (e.g., Toyota) the dealer can own. The purpose is to prevent the retailer from gaining too much power vis-à-vis the manufacturer.